WEEK 10 · LECTURE L3 · UNIT IV

Future-of-Work Strategy

What a future-of-work HR strategy must cover, how to read automation risk, and how to choose a workforce response.

R K Singh · Senior Professor, Department of Commerce · Delhi School of Economics, University of Delhi
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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- State the five questions a future-of-work HR strategy must answer.
- Critically compare occupation-level and task-level estimates of automation risk.
- Explain displacement and reinstatement effects.
- Apply Lepak and Snell's HR architecture and the course's 6B framework to workforce choices.

COURSE OUTCOMES

CLO 4 (designing frameworks) and CLO 5 (strategic alignment).

WHAT THE STRATEGY MUST COVER

A future-of-work HR strategy answers five questions

Question	Evidence to use
Which work changes, and how fast?	Automation exposure and skill gaps by role family
Who does the work: employees, gig workers or machines?	Workforce mix and employment modes
How do people move to new work?	Reskilling timelines and adjacent-role paths
Is it fair to the least advantaged?	Outcomes for frontline, low-literacy and platform workers
How will HR govern it?	Owners, metrics and review dates

WORLD ECONOMIC FORUM (2025)

The global picture to 2030

Jobs

About 170 million jobs created and 92 million displaced worldwide, a net gain of about 78 million.

Skills

Employers expect about 39 percent of workers' core skills to change by 2030.

The caution

A net global gain does not mean no worker is harmed; displacement is concentrated in particular roles and places.

A COURSE FRAMEWORK, EXTENDING LEPAK AND SNELL

The 6B framework: six workforce responses

Response	Meaning
Build	Reskill internally
Buy	Hire externally
Borrow	Contract or partner
Bridge	Move people to an adjacent role
Bot	Automate, with a transition plan for those affected
Exit	Phase out through natural attrition

EXAM LENS

The 6B framework is the course's own; ground it in Lepak and Snell (1999) and in automation evidence when using it.

THEORY IN DEPTH · FREY AND OSBORNE (2017)

47% of US jobs at high risk of automation

THE CORE IDEA

They estimated the probability that each US occupation could be automated, finding 47% of employment at high risk.

HOW IT WORKS

Experts labeled the automatability of 70 occupations; a model extended the estimates to 702.

LIMITS AND CRITIQUE

Treating whole occupations as automatable overstates the risk.

IN PRACTICE

Read automation risk scores as exposure to change, not as certainty of job loss.

EXAM LENS

Always pair Frey and Osborne with Arntz et al.'s task-based critique.

THEORY IN DEPTH · ARNTZ, GREGORY AND ZIERAHN (2016)

Tasks, not occupations, are automated

THE CORE IDEA

Re-estimating at the task level, they found only about 9% of jobs across OECD countries highly automatable.

HOW IT WORKS

Workers in the same occupation perform different task mixes, so many keep tasks machines cannot do.

LIMITS AND CRITIQUE

Estimates depend on assumptions about future technology.

IN PRACTICE

A store associate's job is likely to be redesigned before it disappears; plan adjacent-role paths, not only exits.

EXAM LENS

The 47% versus 9% contrast is a classic exam comparison; explain the methodological reason.

THEORY IN DEPTH · ACEMOGLU AND RESTREPO (2019)

Automation displaces, and new tasks reinstate

THE CORE IDEA

Technology has a displacement effect (machines take tasks) and a reinstatement effect (new tasks for people).

HOW IT WORKS

Whether labor's share rises or falls depends on the balance between the two.

LIMITS AND CRITIQUE

In recent decades they find displacement has outpaced reinstatement in the United States.

IN PRACTICE

A strategy should name the new tasks it creates, such as data quality ownership for displaced clerical staff.

EXAM LENS

Use this as the counterweight to Susskind (L2).

THEORY IN DEPTH · LEPAK AND SNELL (1999)

Match the employment mode to the value and uniqueness of skills

THE CORE IDEA

The HR architecture: different kinds of human capital call for different employment modes.

HOW IT WORKS

High value and unique: develop internally. High value, generic: acquire. Low value, generic: contract. Low value, unique: alliance.

LIMITS AND CRITIQUE

Skills move between quadrants as technology changes.

IN PRACTICE

The 6B framework maps onto this: Build for unique skills, Buy for valuable generic ones, Borrow for generic, low-value work.

EXAM LENS

Use the two-by-two explicitly, and note that technology moves skills between quadrants.

PRACTICE FOR THE END-TERM EXAMINATION

Questions to rehearse

"Automation risk estimates tell us more about methodology than about the future." Critically evaluate using Frey and Osborne, Arntz et al. and Acemoglu and Restrepo. **20 marks**

A strong answer: contrasts occupation and task approaches with the 47% versus 9% figures; explains displacement and reinstatement; draws HR implications.

Design a future-of-work HR strategy for a large Indian retailer, using Lepak and Snell's architecture and the five strategy questions. **20 marks**

A strong answer: answers all five questions; maps role families to employment modes; addresses fairness and governance.

Explain the displacement and reinstatement effects of automation. **10 marks**

A strong answer: defines both and states the balance condition.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. **Automation risk is exposure to change, not certainty of loss**
2. **Tasks, not occupations, are automated**
3. **Name the new tasks your strategy creates**

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

- Manuti, A., & de Palma, P. D. (2018), Chapter 6 (Conclusion).
- Westerman, G., Bonnet, D., & McAfee, A. (2014), strategy chapters.

COMPANION

Each set reading is explained in the matching Unit Reader on rksingh.tech/materials.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture

Works named on the slides of this lecture. They are background sources, not set readings.

Acemoglu, D., & Restrepo, P. (2019). Automation and new tasks: How technology displaces and reinstates labor. *Journal of Economic Perspectives, 33*(2), 3–30. https://doi.org/10.1257/jep.33.2.3

Arntz, M., Gregory, T., & Zierahn, U. (2016). *The risk of automation for jobs in OECD countries: A comparative analysis* (OECD Social, Employment and Migration Working Papers No. 189). OECD Publishing. https://doi.org/10.1787/5jlz9h56dvq7-en

Frey, C. B., & Osborne, M. A. (2017). The future of employment: How susceptible are jobs to computerisation? *Technological Forecasting and Social Change, 114*, 254–280. https://doi.org/10.1016/j.techfore.2016.08.019

Lepak, D. P., & Snell, S. A. (1999). The human resource architecture: Toward a theory of human capital allocation and development. *The Academy of Management Review, 24*(1), 31–48. https://doi.org/10.2307/259035

Manuti, A., & de Palma, P. D. (2018). *Digital HR: A critical management approach to the digitilization of organizations*. Palgrave Macmillan.

Westerman, G., Bonnet, D., & McAfee, A. (2014). *Leading digital: Turning technology into business transformation*. Harvard Business Review Press.

Sources for this lecture (continued)

World Economic Forum. (2025). *The future of jobs report 2025*. World Economic Forum.